



Figure 30.6 The predicted drop from a double top didn't turn into a buy signal.

The book score I'm referring to is from my book, *Trading Classic Chart Patterns* (Wiley, 2002), and it introduced a scoring system for chart patterns.

Price moved horizontally for a time, creating a rectangle top pattern at F (the two horizontal trendlines).

- Lesson: Sell if a chart pattern breaks out downward, especially if the technical and fundamental reasons support a sale.

The rectangle was the perfect exit for this trade and would have saved me money. The correct sell location was I, the day after the downward breakout.

On 3 June (the price bar to the left of J), I wrote more in my notebook: "Support zone at 30 has now been busted through and stock is declining. I don't think it'll hit the median decline for an AADT of 12.4%, to 26.74. I could sell now with a 3% loss. Support is difficult to see in this chart. SAR form thingy [support and resistance page in one of my computer programs]